

The C Corporation

The C corporation is a business structure that survives time and can be easily transferred. Corporate profits are taxed at corporate income tax rates, with net income distributed to shareholders.

Some C-corp owners use this structure to deploy a strategy known as “income splitting.” The strategy is to partition the business’s income to both the owner and the business, effectively lowering the tax bracket of the two, versus a large income for just one. While it’s not within the scope of this book to dive into tax strategy and corporate formation, it does offer up a Fastlane component, which is control.

While C corporations and their owners are subject to double taxation (tax on corporate profits and dividends to shareholders), they are advantageous for larger corporations and corporations with an “asset growth” strategy. In other words, if you don’t plan on distributing profits and are focused on building “asset value” over “net profit,” C corporations do the job. The majority of publicly traded companies are C corps that do not distribute dividends to their shareholders. They grow revenue and asset value.

The S Corporation

An S corporation is like a C corporation except that it isn’t taxed as a separate entity. Considered a “pass-through” entity, taxes aren’t paid at the corporate level, but at the individual level and reflected on the owner’s personal tax return. S corporations also have some tax advantages because profits are not subject to the hefty self-employment tax that comes with sole proprietorships. However, unlike C corporations, which can have limitless owners, S corporations are limited to 100 owners and will have additional filing requirements.

The Limited Liability Corp (LLC)

An LLC operates just like a corporation with the benefits of a partnership or a sole proprietorship. LLC profit passes through to its owners, called members, and is reflected on their personal income tax. LLCs are also considered “pass-through” entities because profit passes directly to the owners. For partnerships, the LLC or the S corp is the recommended structure in lieu of a general partnership, which, again, does not offer liability protection.

For small startups, I recommend either an LLC or an S corp. Stay away from partnerships and sole-proprietorships, as they do not limit liability. Creating a corporation is not as daunting as it seems. Depending on your state, it shouldn’t cost more than \$1,000. In Arizona, one can be created for less than a few hundred dollars.